Impact of digital payment on consumer behaviour in Nepal

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Abstract

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Abstract

This study aims to explore the impact of digital payment on consumer behavior in Nepal. Following the Technology Acceptance Model (TAM), the study investigates the impact of perceived ease of use, perceived usefulness, and security concerns on payment selection.

The study collected data utilizing a quantitative research strategy and surveyed urban and rural consumers. Findings indicate wide utilization of digital payment, with mobile wallets being the most popular. Key drivers to usage include convenience, ease, and security. However, low internet connectivity and fear of fraud remain issues in rural areas.

The results show huge differences in the rates of adoption of digital payments, with the most frequent users being youth, urban, and educated consumers. Most of them intended to use digital payments in the future, indicating growing familiarity despite existing challenges. The results are of specific importance to policymakers and financial institutions aiming to promote digital payments in Nepal's emerging payment ecosystem.

Keywords

Digital Payment, Consumer Behaviour, Technology Acceptance Model (TAM), Mobile Wallets

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Appendix 1. Appendix title

Appendix 2. Appendix title

Abbreviations

NRB Nepal Rastriya Bank

NPS National payment system

ICT Information and communication technology

NPR Nepalese rupees

TAM Technology acceptance model

PU Perceived Usefulness

PEOU Perceived ease of use

1 Introduction

1.1 Research Background

The rise of digital payments has fundamentally transformed how consumers and businesses engage with each other globally. Digital payments are defined as transactions completed for products or services that are either ordered online or offline and initiated via the Net. Gaining insights into how digital economic facilities influence buyer choices is becoming increasingly important, particularly in developing countries such as Nepal. In Nepal, the Nepal Rastra Bank (NRB) is committed to ensuring the safekeeping and efficiency of the country's National Payments System (NPS), acknowledging that payment functions are a vital part of a state's financial framework and are critical for its stability, the implementation of monetary policy, and the development of capital markets (Rijal 2024).

As digital payment systems become more popular, they are changing the way consumers make transactions, which in turn affects their buying choices, preferences, and overall financial habits. The rapid acceptance of digital payment options has been largely driven by developments in information and communication technology (ICT), leading to the rise of various methods such as digital wallets, internet banking, and mobile banking in Nepal (Poudel et al. 2023; Magar et al. 2023a). This transition is illustrated by a significant rise in digital transactions, which increased to NPR 1,559 billion in 2019 from NPR 712 billion in 2018. indicating an increasing acceptance and dependence on these systems by consumers (Poudel et al. 2023).

Demographic factors also significantly influence consumer perceptions regarding digital payment methods. Lohana and Roy (2023) noted that aspects such as age, gender, schooling, and revenue greatly impact the usage and fulfillment associated with digital payment systems. For example, younger users, who are generally more adept with technology, tend to have a greater inclination to embrace digital payment options compared to older individuals, who may lean toward conventional cash transactions (Goetze et al. 2023). This generational gap highlights the necessity of comprehending consumer behavior to digital payment adoption, as it can guide efforts to improve user engagement and satisfaction (Magar et al. 2023).

Furthermore, the COVID-19 pandemic also fast-tracked the transition to digital payments, as individuals aimed to reduce physical interactions and improve transaction safety (Daqar et al. 2021). The pandemic not only sped up the acceptance of digital payment systems but also shaped consumer attitudes and behaviors, resulting in a greater dependence on these technologies for routine transactions (Zhou 2022). As digital payments become increasingly

woven into daily routines, it is vital to comprehend their effects on consumer behavior in Nepal for both businesses and policymakers, as this knowledge can inform the creation of more effective financial services and consumer education programs (Bhattarai et al. 2023).

1.2 Thesis Objectives, Research Question, and Limitations

The research objective serves as a foundational element in the research process, guiding the direction and scope of the study. A well-defined study objective is crucial for ensuring clarity and focus, facilitating the replication of studies, and enabling effective analysis. (Marken and Morrison 2013). emphasize the importance of precise definitions and consistent terminology in educational research objectives, noting that this precision is essential for replicating studies and conducting comprehensive analyses over time.

This thesis aims to determine changing consumer attitudes toward digital payments. The aim is to recognize the role of demographic factors such as gender, age, education, and income in shaping consumer views of digital payments. There is a lack of studies on how digital payment impacts consumer behavior in Nepal. This is intended to deliver deeper insights into the acceptance of digital payment approaches while shopping, based on a literature review and research.

Formulating a clear and focused research question is essential, as it not only defines the scope of the investigation but also influences the design, data collection, and analysis process (Aslam & Emmanuel 2010; Jain et al. 2023).

The main research question of this thesis is:

- How do people use and perceive digital payments in Nepal?

Sub-questions provide clarity and direction to the research process, facilitating a comprehensive exploration of the major research question. The facts and knowledge obtained are divided into a comprehensive response to the primary research question via the sub-questions listed below

The sub-questions of the thesis are:

- How do consumer perceptions of efficiency influence their attitudes towards digital payments?
- How do demographic factors like age, gender, education, and income impact digital payment adoption and usage patterns?

Research is usually subject to several limits. The purpose of this thesis is to understand the impact of digital payments on consumer purchasing intentions. The research is so hard to include every technique that could be used in consumer buying intentions. Raising the number of respondents about consumers who use digital payment methods may present certain difficulties. The participants may provide inaccurate information about digital payment methods. Mainly, the findings are done specifically for Nepal and may not be applicable to other regions.

1.3 Theoretical Framework

The consumer decision-making process is a critical area of study, particularly in emerging markets like Nepal, where understanding the motivations behind consumer behavior can significantly influence marketing strategies, policymaking, and business practices. The Technology Acceptance Model (TAM) provides a comprehensive framework to explore the impact of digital payments on consumer behavior in Nepal. This analysis will delve into the economic, psychological, and technological factors that shape consumer decisions in the context of digital payment approval.

Research shows that how consumers view the practicality of digital payment systems has a great influence on their adoption of technology. For example, it has been proven that individuals will approve mobile payment systems if they feel that the technologies will make transactions easier and faster (Su et al. 2018; Li et al. 2019). In addition to that, the usability of a digital payment system is important; when the system is easy to use for the customers, they will accept it (Leang et al. 2023; Li et al. 2019). Furthermore, Tang et al. (2021) highlighted that customers' perception of how the system must work and their privacy in terms of ensuring the security of the information also come out as a major determinant of using payments.

1.4 Research Methodology

A research methodology describes the techniques and steps taken to collect and analyse information on a particular study topic. It is an organized, logical strategy that researchers employ to direct a study problem and achieve their objectives (Bahishti 2022). A methodology outlines how an investigator will carry out their investigation to obtain precise and reliable data. It includes the types of data the researcher will gather, the sources of that data, and the methods for gathering and analysing it (Bahishti 2023). A research design behaves as the framework for the study, guiding the data collection and analysis processes, the selection of research tools, and the sampling strategies to be employed (Tobi & Kampen

2018). This study adopts a deductive research approach, which starts with a theory or hypothesis and seeks solutions through data collection and analysis. This approach is particularly suitable as the research focuses on quantitative data to examine the impact of digital payment systems on purchasing actions. The researcher will draw on existing theories and studies conducted on similar topics to identify the key factors influencing consumer behaviour in Nepal regarding the acceptance of digital payments.

Digital payment serves as the focal subject of this research. The study incorporates both qualitative and quantitative sources of data. Qualitative data offers a deeper understanding of the underlying motivations and contextual factors, while quantitative data provides measurable insights into patterns and trends (Arendt et al.2012).

The research utilizes both primary and secondary data collection methods. Primary data will be collected through a structured questionnaire distributed among individuals who actively use digital payment systems in Nepal. Secondary data will be gathered from newspapers, articles, journals, and websites to gain insights from prior studies and reports on the adoption and impact of digital payments. The study aims to answer critical questions about how digital payment systems influence consumer purchasing behaviour in Nepal. The questionnaire includes a five-point Likert scale, ranking, multiple-choice, single-choice, and demographic items.

According to Magar et al (2023b) Nepal's population in 2024 is projected to be approximately 31.07 million, and the target population for this research comprises individuals who use digital payment methods, such as mobile wallets and online banking. The researcher collaborates with digital payment service users and disseminates the survey. Given the challenge of reaching all users of digital payment systems, the researcher also leverages personal networks, including friends, family, and colleagues. The study seeks responses from at least 100 participants, including businesspersons, private and government employees, students, and unemployed individuals. Respondents must be at least 18 years old, reflecting the legal age for conducting financial transactions in Nepal.

The initial focus of the research is to utilize surveys to store and analyse data on consumer behaviour. The validity and reliability of findings are ensured through careful questionnaire design and systematic data analysis. This method enables the study to remain concentrated on data clearly obtained from participants, providing a pure insight into how digital payment systems influence consumer behaviour in Nepal.

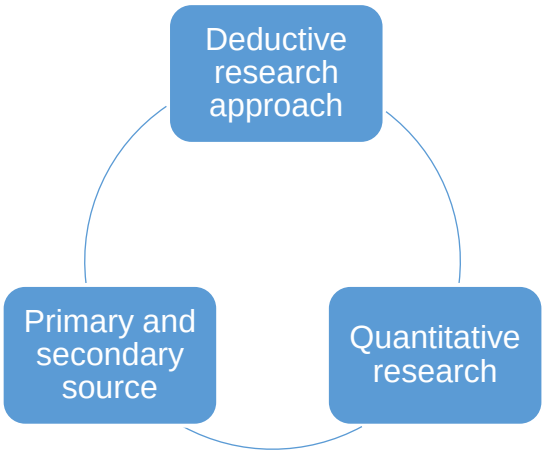

Figure 1. Research Methodology

The above figure shows that the study applies the quantitative research method. Researchers frequently use the inductive approach associated with qualitative research and the deductive approach associated with quantitative research. Since the objective of the study is to identify the impact of digital payments on consumers' behaviour and to generalize the findings to larger populations, the study utilizes a deductive approach. The primary data are stored from participants through a survey and secondary data are collected through the existing literature.

1.5 Thesis Structure

The study is separated into five sections: introduction, technology acceptance model, empirical research, conclusion, and summary.

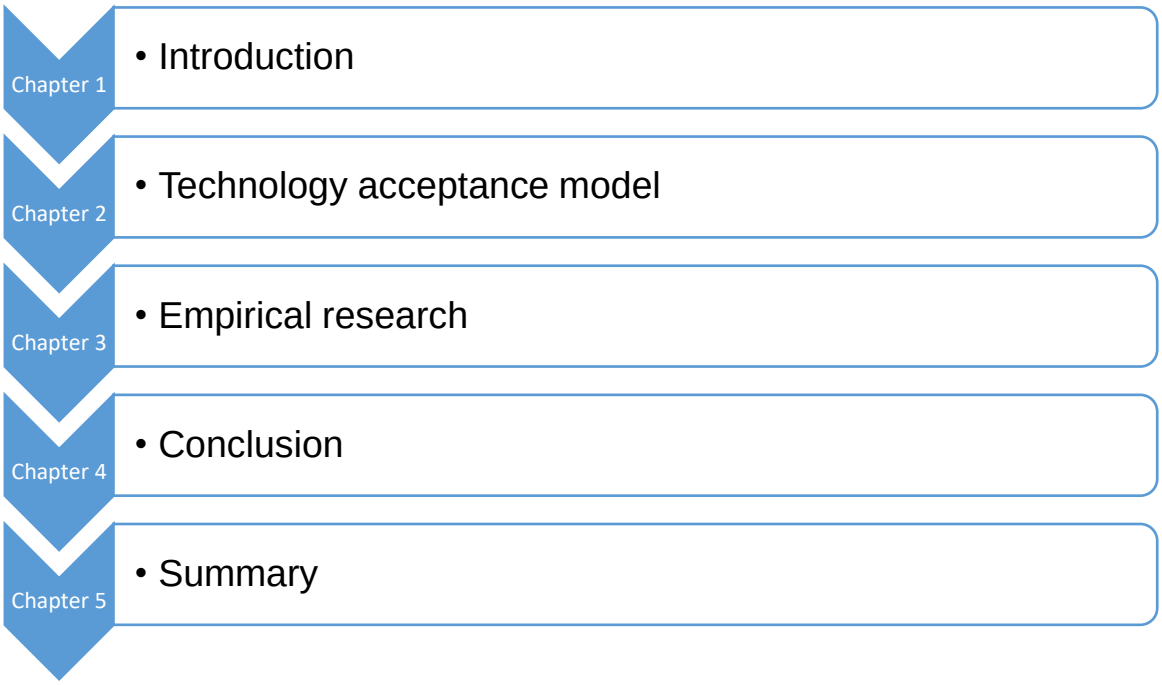

Figure 2. Thesis Structure

The research background, goals, and questions, as well as the thesis's limits, are presented in the first chapter. Additionally, it offers the data collection, research methodology, theoretical framework, and, finally, the thesis structure. The sections that are covered have been defined in the thesis framework.

The second chapter covers the technology acceptance model and includes some insight into the factors that impact digital payment on consumer behaviour.

The empirical research, including data collection and methodology, as well as certain details regarding research participants and sample outcomes, is covered in the third chapter.

The conclusion, including the material that was being re-examined and its findings, is covered in the fourth chapter. The research questions have been solved in this section.

The last chapter summarizes the thesis. It covers every stage of the study process, answers a research question, and includes suggestions for further research in the conclusion.

2 Technology acceptance model

Davis's Technology Acceptance Model (TAM) (1989) is the most widely used model to explain how users adopt and use new technology. The most prevalent determinants that decide an individual's use decision for a technology, as proposed by this model, are Perceived Usefulness (PU) is the extent to which an individual believes that the use of a specific system will improve his or her performance (Davis 1989). In mobile payments is the extent to which consumers believe that the use of electronic payment systems such as online banking or mobile wallets facilitates transactions in a more convenient, quicker, and easier way. Furthermore, Teker et al. (2022) note that convenience is the key driver of the growing use of digital payments by business customers as well as end consumers. In summary, TAM can explain why digital payment systems are being utilized in Nepal by their users. If they are convenient and helpful enough to the users, then they will be able to embrace and continue to utilize these systems, influencing their overall behavior toward digital transactions.

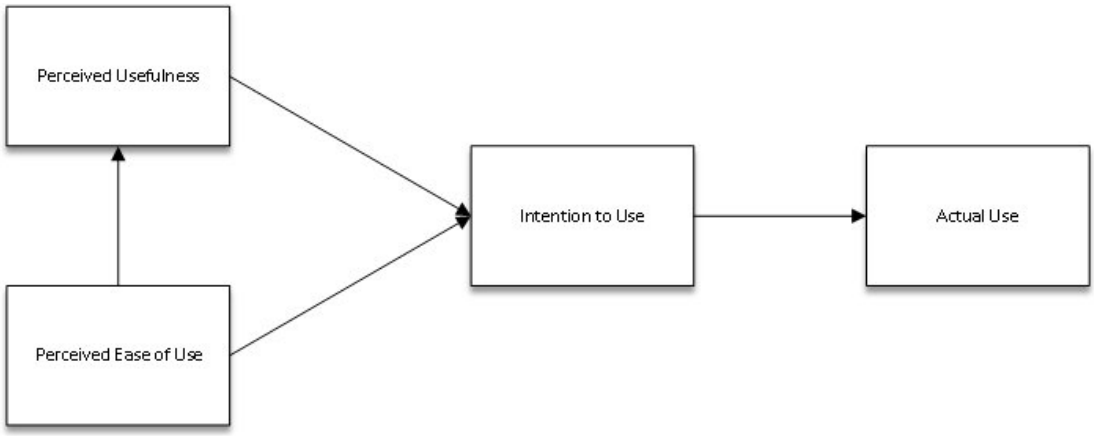

Figure 3: Technology Acceptance Model (TAM)

2.1 Perceived Usefulness

According to Davis (1989) Perceived Usefulness (PU) is the extent to which an individual thinks that utilizing a specific system will increase his/her work performance. In the context of digital payments, perceived usefulness means how much consumers believe that using digital payment systems (e.g., mobile wallets, online banks, etc.) is a better way of dealing with money, saving time, and making them more comfortable shopping. Therefore, the key success indicator of digital payment systems is perceived utility. Many studies illustrate how security, convenience, and speed influence digital payment users' satisfaction and understanding of digital payments. When digital payment functionalities meet users' expectations, (Beura et al. 2023). the claim that satisfaction is lifted and usage continues (Sholihah &

Ariyani 2023.) In this regard, (Aditya & Ekyawan 2021.) also, establish a solid positive connection between user gratification and digital payment adoption, namely, users engaging in digital payment will more likely stay engaged. (Teker et al. 2022). Also, back up this point by arguing that ease is one of the key reasons digital payments are becoming increasingly popular among consumers and businesses.

Another consideration regards security, which has a primordial role in forming perceptions of usefulness. Both as it relates to digital security awareness and because it highlights the importance of trust in security measures, Jusman and Fauziah (2024) claim that it is the lack of awareness of digital security that deters users from fully using cashless payment methods. Muhtasim et al. (2022) also point out that perceived security strongly determines customer satisfaction, which leads to the additional fact that perceived safety substantially affects digital payment adoption. The study by (Yaokumah, Kumah, & Okai 2017). shows how demographic factors shape the usage of e-payment services using the lens of the Technology Acceptance Model (TAM). Perceived usefulness can also be improved by improving educational initiatives, as Behera et al. (2023) note that higher levels of financial education help increase awareness and adoption rates due to a lowering of technological apprehension.

However, the acceptance of digital payment techniques in Nepal depends on demographic, economic, and technological factors. From NPR 712 billion in 2018 to NPR 1,559 billion in 2019, digital payments had spread throughout the country with the use of digital payment platforms like ConnetIPS, Mowobil wallets, QR codes, etc. (Poudel et al. 2023). As Lohana & Roy (2021) state, the satisfaction of the consumer and the adoption rate of the product are variables — i.e., it depends on the consumer’s age, gender, education, and income level. Moreover, the impact of the integration of digital payment systems in governance has enhanced their perceived usefulness by promoting transparency, efficiency, and especially in remote areas, as Kc and Kc (2024) argue. Likewise, supervision by the regulatory authorities of Nepal Rastra Bank is necessary for security and consumer confidence (Rijal and Thapa, 2024). Nevertheless, security risks and lack of awareness persist, which is why targeted educational initiatives are still extremely important to grow trust and increase adoption (Meher et al. 2021).

In addition, digital payments cannot be overlooked in how they impact consumer behaviour. Recent studies have found that the convenience and efficiency that digital payment system provides to consumers are very important and affect the consumers' choice and purchase decisions (Bhattarai et al. 2023; Rijal & Thapa, 2024). So, the consumption of Nepalese products has been in sync with the rise of e-commerce and mobile commerce, together with

the surge in digital payments, since customers want to have the essential experience of seamless transactions (Rijal & Thapa, 2024). These perceived risks, such as the security risk or the fact that consumers are not familiar with it, slow the approval of digital payments (Meher et al. 2021).

2.2 Perceived ease of use

The perception users have about how easy it will be to use digital payment systems influences their adoption of these systems in developing nations, including Nepal. Different system components and accessibility levels determine users' judgment of how effortless their interaction with the system will be. Research indicates that ease of use perception stands as the foundation for how users accept technology based on their attitudes toward adoption (Özkan et al. 2010). The Simplicity, along with ease of use on digital payment systems including PayPal, helps platforms achieve success by using intuitive designs according to Teoh et al. (2013). Nepalese citizens who are less familiar with technology require interfaces that are easy to use for adopting new platforms.

Research from Nepal provides complete evidence of how users decide about digital payments based on security measures and privacy protection. The security-related concerns perceived by young Pokhara Metropolitan City residents surpassed the advantages they felt digital payments would provide, according to Poudel et al. (2023). Users require better security safeguards as they also value easy interfaces for payment platforms since these mechanisms provide peace of mind about the safety of their funds. The evaluation of platform ease during use acts as an essential condition for perceived usefulness since users find effective platforms through convenient interfaces, according to Lai & Ahmad (2015). The development of digital payment adoption among Nepalese users demands a user-oriented interface since they must transition from cash to electronic transaction systems. Digital payment education, along with awareness programs, allows users to view digital payment systems as user-friendly. Knowledge lessons about digital system features enable users to grasp the technology better for increased acceptance rates (Sivathanu, 2019). Digital payment systems have become simpler to operate using modern financial sector technology to prevent risks associated with traditional cash payments, as reported by Budiarti et al. (2021). Digital payments in Nepal will thrive through developer improvements in platform user experience, coupled with sustained customer education about systems that create trustworthy user relationships (Khan et al. 2023; Sholihah & Ariyani, 2023).

2.3 Intention of use

The Digital payment system usage research has gained importance because modern technology norms are changing along with consumer conduct. The concept depends on the Technology Acceptance Model (TAM), which shows that users' technology adoption intentions depend strongly on how much they perceive the system aids them (PU) and how straightforward its operation is (PEOU). User intention toward digital payment systems depends mainly on performance expectancy, combined with social influence together with facilitating conditions, and security and privacy concerns, as shown by continued research. The factors that form user perceptions serve as essential drivers for mobile wallet adoption alongside e-payment system implementation and other digital payment alternatives (Linge et al. 2023; Patil et al. 2020; Gupta & Arora, 2019).

Users choose to adopt digital payment solutions because they view technological tools as useful according to performance expectancy definitions. User adoption of digital payment solutions increases based on their perception of these solutions being beneficial and efficient, according to Linge et al. (2023) and Patil et al. (2020). Users' adoption decisions regarding technology are greatly influenced by the impact important others have on such decisions through social influence. Beura et al. (2023), alongside Simatupang et al. (2022) stress that peer conduct and social guidelines drive adoption choices according to their research, while Tian et al. (2023) examine the mutual effects of trust strength with service quality and social influence for digital payment system use.

Necessary resources, together with modern infrastructure, serve as important enabling factors when implementing successful digital payment systems. According to Poudel et al. (2023) and Nurdin et al. (2023) reliable technology access with strong internet connectivity enables users to make effective use of digital payment systems. Consumers refrain from adopting digital payments because of their strong concerns about security and privacy. Adoption of digital payments heavily depends on perceived trustworthiness, together with security measures, according to Nguyen et al. (2016), along with Flavián et al. (2020) and Ariffin et al. (2021) in their research. The digital payment acceptance process in Nepal provides isolated views into consumer conduct due to socioeconomic factors combined with technological elements and cultural components. Digital payment systems continue to expand rapidly because mobile technology penetration extends beyond traditional banking systems toward digital methods of payment (Poudel et al. 2023). The adoption of digital payment platforms for daily financial transactions occurs because these systems provide convenience, security, and seamless integration into daily activities (Shrestha, 2024). The COVID-19 pandemic escalated adoption through digital infrastructure requirements despite

issues with digital literacy and limited infrastructure (Kurian 2021). The government, together with regulatory institutions and the Nepal Rastra Bank, must play essential roles to guarantee a secure digital payment system that will boost consumer trust and promote nationwide economic development (Rijal & Thapa, 2024; Bhattarai et al.2023).

2.4 Actual use

Digital payment utilization (AU) describes consumer interaction with online banking and mobile wallet systems where transactions take place. Users generally adopt digital payments because these systems offer both easy usability and enhanced convenience. The Indian adoption of these systems during demonetization times mainly depended on user convenience because that element matched the Unified Theory of Acceptance and Use of Technology (UTAUT) as Sivathanu (2019) explains. The research by Poudel et al. (2023) states that students in Nepal need technology access coupled with sufficient knowledge to successfully adapt new practices. Ummasyroh et al. (2024) establish that consumers choose to maintain digital payment practices when these systems prove easy to operate and beneficial for their needs.

The evaluation of subjective risks between customers plays an extremely important role in forming AU. Chaveesuk et al. (2021) showed that perceived risk functions as a main obstacle towards digital payment acceptance in Thailand, whereas Nasiketha et al. (2023) provided similar evidence for Sri Lanka, as perceived risk levels directly influence digital payment adoption. Consumers who understand the benefits of digital payments will choose adoption based on how well they manage associated risks, which is influenced by their access to facilitating conditions like technology. AU's adoption is influenced by social influence along with financial literacy levels, although these come from external sources. Social status influences purchasing behaviour according to Rifa'Ie and Chan (2024), and Oktafian (2022) makes clear that financial education determines effective digital payment usage.

Different regions of the world have distinguished contexts for digital payments, which makes AU more difficult to achieve. The growth of digital transactions in India was propelled by technological advancements and cashless commerce developments, according to Khan (2021), although Ligon et al. (2019) explain that Jaipur shows low digital payment adoption because of poor infrastructure and low awareness levels. Population statistics such as age level, educational attainment, and income affect digital payment behaviour in Nepal based on Lohana and Roy (2021). Customer satisfaction rates explored by Aditya and Ekyawan (2021), along with the advanced services of Khalti and IME Pay secure remote transactions

(Shrestha 2024.) drive users to continue their usage according to research. The digital divide remains active throughout Nepal because it creates different internet accessibility levels between urban regions and rural territories (Karki et al. 2021). The COVID-19 pandemic caused a faster acceptance of digital payment systems because customers now choose contactless payments to protect their safety (Aryal 2021.) Strong governance systems backed by the Nepal Rastra Bank create essential components for building trust and protecting digital transaction security (KC & KC, 2024; Rijal & Thapa, 2024.)

3 Empirical research and data analysis

3.1 Empirical Research

This research examines the effect of digital payments on Nepalese consumer behavior using a quantitative approach. It is based on the Technology Acceptance Model (TAM) (Davis 1989.) where the concepts of perceived usefulness, ease of use, intention to use, and actual use exist. The study tests these variables to find out the attitude of consumers toward digital payment systems. The investigation finds out how people perceive the efficacy and security of digital payments, and how demographic factors such as age, gender, education, and income affect the payment systems. The study's main question is: “How do people use and perceive digital payments in Nepal?” Data was gathered using Microsoft Forms through a closed-ended questionnaire to better understand the trends and issues related to digital payment adoption. The findings can help businesses and policymakers by offering information about how digital payments are being accepted and used in Nepal.

3.2 Data Collection

The information was collected by using Microsoft Forms through a closed-ended questionnaire on people in Nepal who use or can use digital payment systems like mobile wallets (eSewa, Khalti, Fonepay), internet or mobile banking, and debit/credit cards. The participants were a mix of businesspersons, employed individuals, students, and unemployed persons aged 18 years and above, the legal age for financial transactions in Nepal. Multiple-choice, single-choice, and demographic questions were employed in the survey to identify users’ habits, preferences, and perceptions of effectiveness, security, and problems.

To attain a high response rate of participants, the survey was shared through personal networks (family, friends, and colleagues) and social media. The survey took place from April 28 to May 1, 2025, and received 151 responses, out of which 139 complete responses were used for the study. The respondents were from urban (91 from cities) and rural (60 from towns/villages) areas. There were 98 men and 53 women in the group. Most of the respondents were aged 25-34 years (78) followed by 18-24 (44), 35-50 (23), and under 18 (6). Education levels ranged from school (71) to graduate (46) and postgraduate and above (34). Income levels ranged widely, and 37 did not wish to reveal their income. Anonymity was maintained to obtain honest responses. The final sample size surpassed the target of 100, which contributed to additional strength to the study findings.

3.3 Data Analysis

The results of the survey were analysed with basic statistical analysis to see how people in Nepal are using digital payments, how they feel about them, and what might be discouraging others from using them. The focus was the frequency of usage of digital payments, where they are utilized, why they are utilized, how convenient and secure they are perceived to be, and how demographic characteristics like age or income affect usage. The findings below are based on 139 complete questionnaires.

3.3.1 Demographic factors

Individual demographic characteristics like age, education, income, and place all had an impact on how much people used digital payments. The young people, i.e., 18–24 and 25–34 years, were the most frequent users, with over 60% using digital payments daily. This shows that the young people are more technologically oriented.

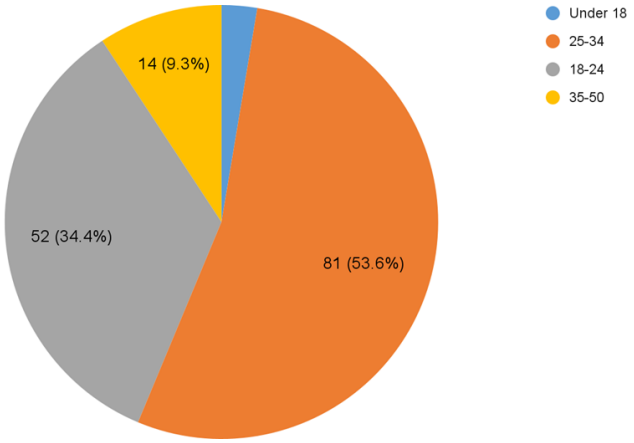

Figure 4 Age of the respondents

Men also used digital payments more (74.20%) compared to women (25.80%), possibly because they had easier access to digital instruments.

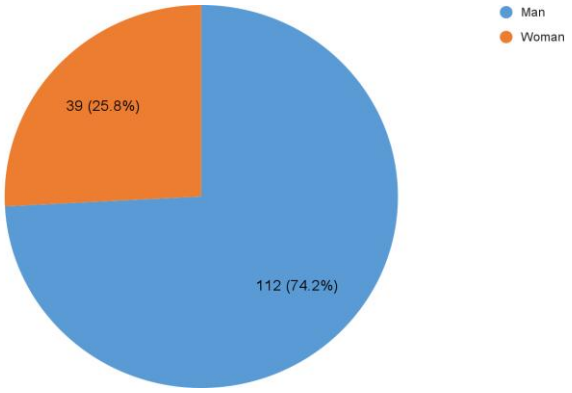

Figure 5 Gender of the respondents

Education was also a determining factor. Those possessing postgraduate degrees used digital payments daily less (24.50%) than school-goers alone (47%).

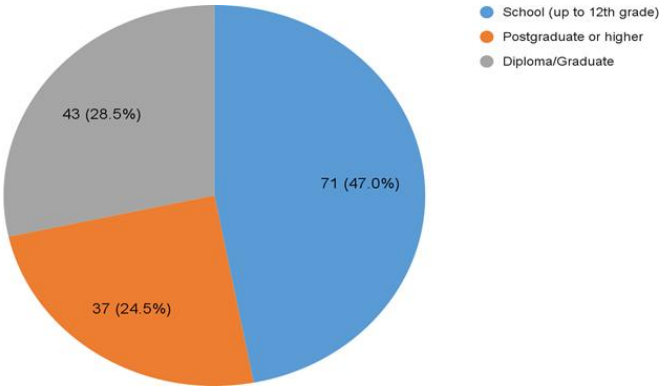

Figure 6 Education level

Income levels were also a determining factor—those who possessed an income of Rs. 50,001-100,000 (11.9%) and more than Rs. 100,000 (8.6%) utilized digital payments less than those who possessed an income of less than Rs. 20,000 (21.9%).

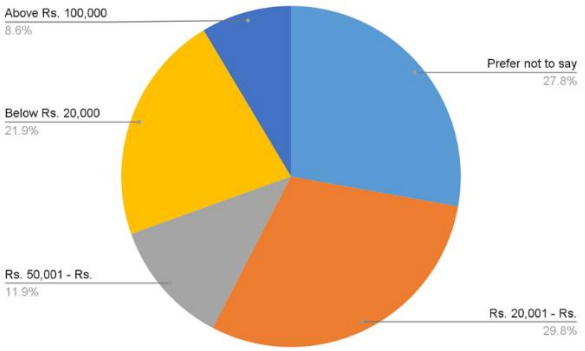

Figure 7 Monthly Income of the respondents

3.3.2 Uses and preferences

Out of 151 complete respondents, 139 (about 92%) said they use digital payment, which shows that most individuals in Nepal are utilizing the technology. This is evidenced by a growth in digital transactions from NPR 712 billion in 2018 to NPR 1,559 billion in 2019 (Poudel et al., 2023). Out of these, 65.9% of respondents reported using digital payment daily, 21.5% weekly, 10.4% every month, and 1.6% reported that they “never” use them, which can most likely mean that they use them in special needs as well.

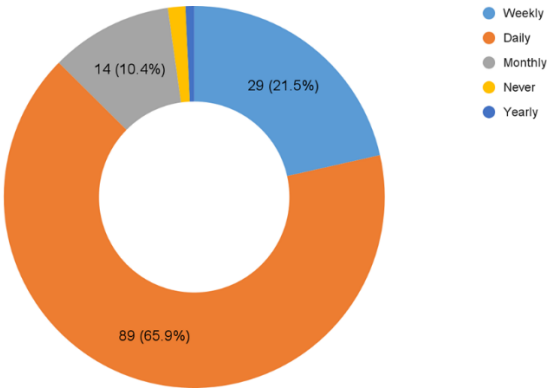

Figure 8 How often do you use digital payments (e.g., mobile wallets, online banking)?

Mobile wallets like eSewa, Khalti, and Fonepay were the most used ones, 56.3% of people use them, then internet or mobile banking (32.6%), and debit/credit cards (11.1%). This reveals that mobile-based options are the trendiest in Nepal.

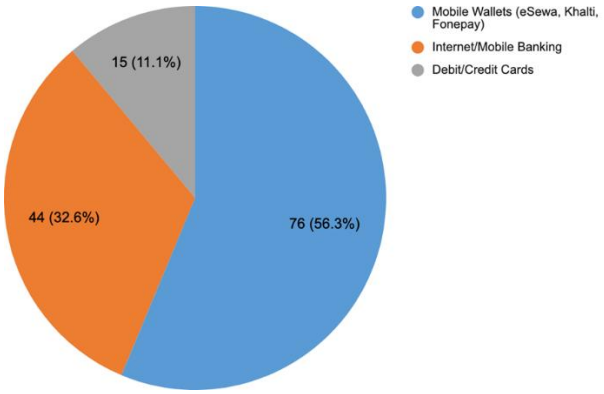

Figure 9 Which type of digital payment platforms do you use most often?

Over half (71.9%) of the participants reported using digital payments as the first option over cash for everyday goods.

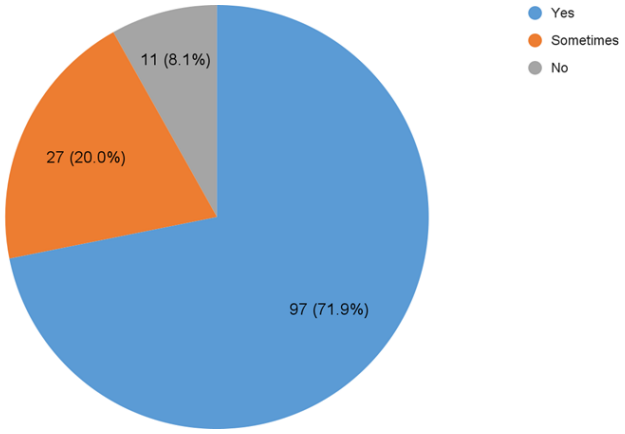

Figure 10 Do you prefer digital payments over cash for everyday purchases?

Quick processing (64), convenience (34), security (30), cashback or discount (3), and relatives/friends' recommendations (4) were their key reasons mentioned.

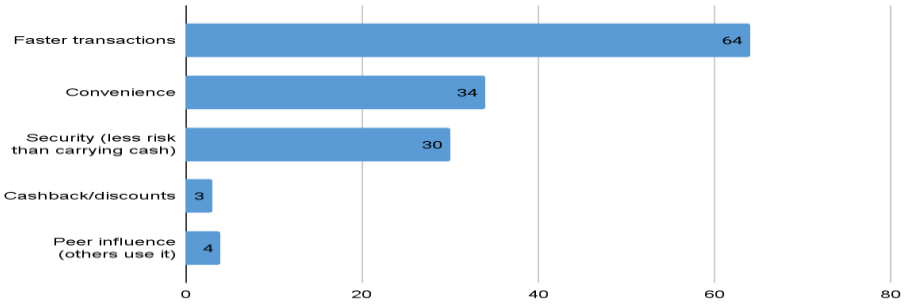

Figure 11 What is the main reason you use digital payments?

People mostly used digital payments for bill payments (28.9%), paying money to others (25.9%), online purchases (21.3%), and restaurant or shop payments (50.8%). This shows that digital payments are widely used in daily life.

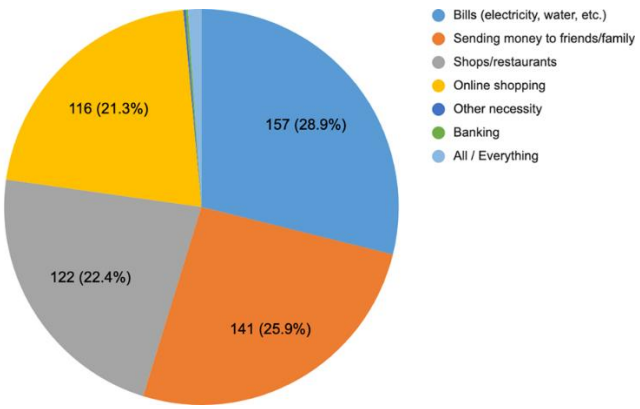

Figure 12 What do you use digital payments for?

3.3.3 Perception of Efficiency and Security

Most of the participants considered the use of digital payment to be convenient. Approximately 54.8% of them stated that it was “very easy” to use digital payment services, and 37.8% stated it was “easy,” which means that digital wallets such as Khalti and eSewa are simple to use. Some users were neutral (5.9%) or stated it as “not so easy” (2.4%), and none stated it as difficult. This supports the fact that people are likely to use systems that are simple and easy to use.

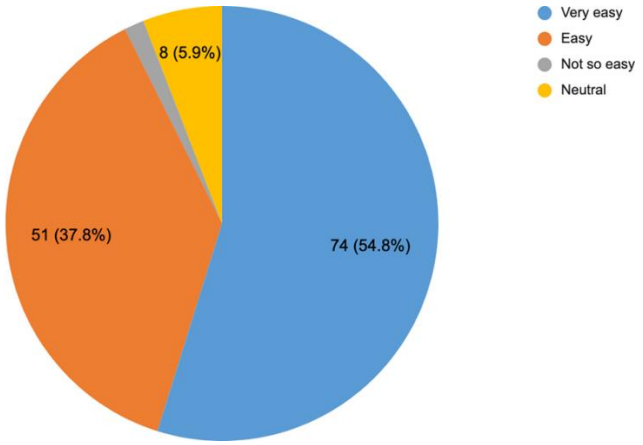

Figure 13 How fast and easy do you find digital payments compared to cash?

People also had very high trust that digital payment is secure. Nearly 77 respondents strongly believe that digital payment is secure. Nearly 19 of them were neutral, while nobody disagreed. This trust is per the efforts Nepal Rastra Bank has undertaken to ensure security for digital transactions.

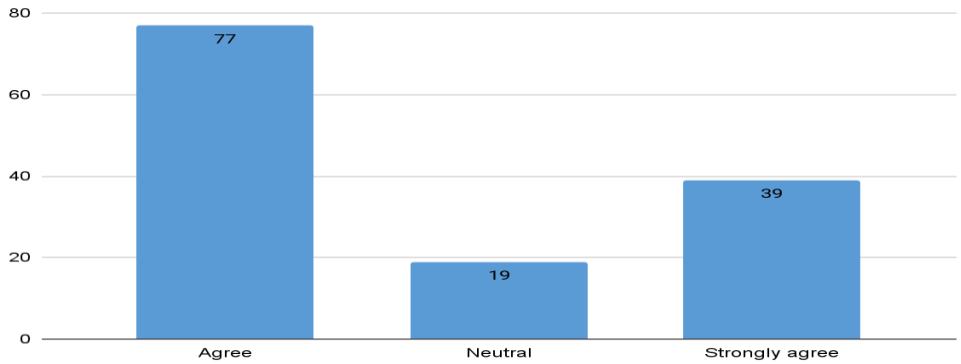

Figure 14 Do you trust digital payment systems to complete transactions securely?

There are still some issues standing in the way of individuals applying digital payments more widely. Those issues are too limited internet reach (50.0%), fear of fraud or hacking (46.8%), stronger affinity toward cash (21.0%), slow processes (2.4%), and added fees

(0.8%). Those are issues associated with a need for higher-quality infrastructure as well as further awareness of the security risks involved.

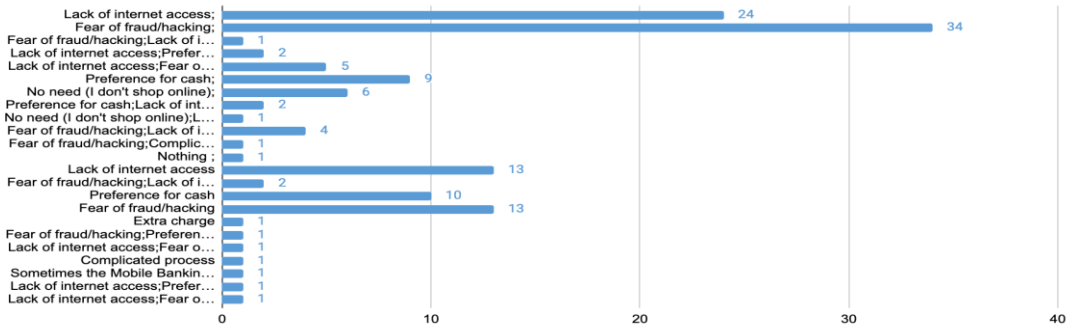

Figure 15 What stops you from using digital payments more often?

3.3.4 Future Outlook

Most of the respondents (71.1%) indicated that they would use online payments more next year, reflecting very high confidence towards more digital transactions in Nepal. Around 2.2% did not know, and merely 26.7% replied that they would not use them more.

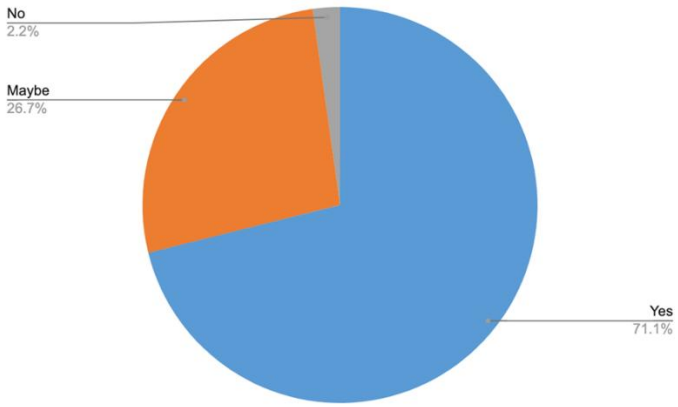

Figure 16 Do you plan to increase your usage of digital payments in the next year.

To answer if their local businesses and service providers now take digital payments, 68.7% said yes, 24.6% didn't know, and 6.7% said no, indicating a scenario whereby even if digital payments are widespread, there is also potential to expand merchant acceptance.

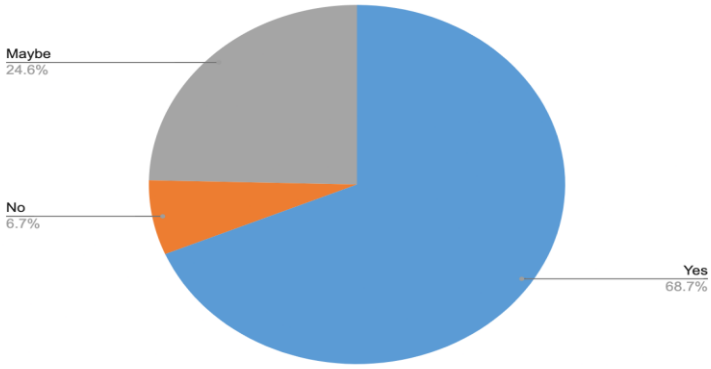

Figure 17 Do you think digital payments are widely accepted by retailers in your area?

To answer if digital payments would entirely replace cash, 50% said yes, 44% didn't know, and 6% disagreed, indicating mixed feelings towards total cashlessness.

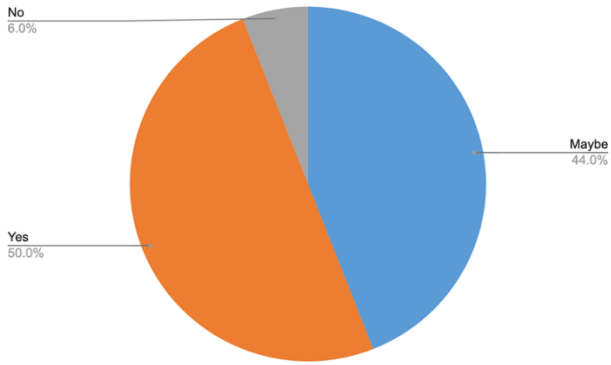

Figure 18 Do you think Nepal's digital payments system will replace cash in the future?

3.3.5 Key Insights

The information points out that payments through electronic media are slowly but surely becoming the order of the day in Nepal. They are quick, secure, and easy, especially if they are being paid via mobile wallets, since they are readily available and very popular to boot. Not everyone does that as much, though. Youths, males, urban residents, and those who are better educated and richer are likely to make use of electronic payment. Problems such as unreliable internet connectivity and the fear of online scams keep others, particularly rural residents, away from using digital methods. These results confirm the Technology Acceptance Model (TAM), that is, that the ease and convenience that a technology is seen as are the factors that can be employed to predict the likelihood that individuals will adopt it. Trust and user history are also important in adoption.

High-Level Adoption of Digital Payments: Most of the respondents (around 92%) indicated the usage of digital payments, and around 66% of them utilize it daily. It suggests that the digital payment means are well-adopted in Nepal. Among the options available, mobile wallets like eSewa, Khalti, and Fonepay were most widely utilized (56.3%), followed by internet or mobile banking (32.6%), and debit/credit cards (11.1%). This kind of popularity must be credited to mobile wallets being more convenient and easily accessible to use (Shrestha, 2024). This finding confirms to previous evidence of the rise of online transactions in Nepal, from NPR 712 billion in 2018 to NPR 1,229 billion in 2019 (Poudel et al., 2023).

Role of Speed and Ease of Use: Individuals like making payments online most because they are convenient (46%), easy (24.5%), and safe (21.6%). These are the factors that justify the Technology Acceptance Model (TAM) that individuals will use technology if they experience it as useful (Beura et al., 2023). Most of the respondents also said that electronic payments are easy to use, where (54.8%) said they were “very easy” and (37.8%) said “easy”. This shows how ease of use is important in encouraging the use of these tools, especially applications like Khalti, which is designed to be easy to use (Teoh et al., 2013).

Demographic Differences in Usage: Demographic factors significantly affected the adoption of digital payments. Younger age groups (18-24 and 25-34) indicated higher daily usage (over 60%), as well as males (74.2% versus 25.8% of females), urban residents (58.9%), and those with higher incomes (e.g., 8.6% for over Rs. 100,000). However, rural residents (41.1%) and less educated (47% for school level) indicated lower adoption.

Barriers to More Extensive Use: The Most substantial barriers to more regular usage of digital payments included lack of internet connectivity (50%), fear of fraud/hacking (46.8%), and preference for cash (21%). All these barriers were larger in rural areas, indicating trust problems hindering adoption (Meher et al. 2021).

Strong Belief in Security: Approximately 77 respondents (55.4%) strongly agreed that e-payment systems are secure, which shows trust in regulatory interventions by the Nepal Rastra Bank (Rijal & Thapa, 2024). However, 19 respondents (13.7%) were neutral, suggesting a need for more trust-building measures, particularly for less-educated and rural consumers (Jusman & Fauziah 2024.)

Retailer Acceptance and Accessibility: About 68.7% of the participants confirmed that digital payments are widely acceptable by retailers, particularly in urban areas, and hence they can easily be used in day-to-day transactions. However, 24.6% were uncertain, while 6.7% disagreed, pointing to gaps in rural merchant adoption that compromise accessibility (Aryal, 2021).

Positive Future Outlook: An incredible 71.1% of the respondents planned to use digital payments more in the next year, and 50% believed digital payments could replace cash, though 44% were uncertain. This suggests that there is high growth potential, conditional on eliminating awareness limitations (Bhattarai et al.2023).

4 Conclusion

The study analyzed the effect of digital payment via online mediums on consumer behavior in Nepal, i.e., on mobile wallet (eSewa, Khalti, Fonepay), internet/mobile banking, and debit/credit cards. Following the Technology Acceptance Model (TAM) of (Davis 1989), the study analysed how perceived usefulness (PU), perceived ease of use (PEOU), intention to use, and actual use affect adoption. The survey was organized and collected feedback from 151 respondents from rural and urban areas. The survey revealed a high usage rate, with most customers considering digital payments safe and convenient. But there is still a problem regarding poor internet connectivity and fear of cyber fraud (Poudel et al.2023). Demographic characteristics like age, educational level, gender, and income also affected the usage behavior among the youth, educated, and city residents, with increased adoption observed among them (Bhattarai et al.2023). Results present pragmatic implications to companies, policymakers, and providers of digital services for enhancing digital payment systems and access to finance in Nepal.

4.1 Answers to Research Questions

This thesis aims to examine how Digital payments are affecting consumer behavior in Nepal. It focuses on understanding how people use digital payment methods and what they think about them. The main question of research is: “How do people use and perceive digital payments in Nepal?” To help answer this, the study also explores two sub-questions: “How do consumer perceptions of efficiency influence their attitudes towards digital payments?” And “How do demographic factors like age, gender, education, and income shape adoption and usage patterns of digital payments?” The goal is to understand the current situation and how different people in Nepal are adapting to digital payments.

The first sub-questions were: How do consumers’ perceptions of efficiency influence their attitudes towards digital payments?

Most users view digital payments as convenient, quick, and safe. These positive attitudes lead them to choose digital payments over the traditional payment mode (cash). The Technology Acceptance Model assumes that people will adopt technology if it is seen to save time and is not difficult to use. This can be found from the feedback because most of the respondents thought that digital payment systems are easy to use. Khalti services were much appreciated for ease of use. Most of the users also felt secure about digital payments, perhaps because of government regulation. But issues surrounding the security of these systems continued to exist, and so there is more education and awareness needed, especially among rural residents or lower literacy.

The second sub-question was: How do demographic factors like age, gender, education, and income shape adoption and usage patterns of digital payments?

Young adults were found to be more than likely to have greater use of digital payment instruments. Men proved to be more frequent users than women, and this might have been due to levels of access to technology or computer skills. Urban residents were also making higher payments online than rural residents, perhaps due to higher availability of internet and infrastructure. Levels of education and income also impact digital payment adoption—higher educated, higher income individuals were more actively using digital payments daily, and less educated or less income individuals were less likely to do so. All these trends show that young, urban, educated, and better-off segments were increasingly embracing digital payments

The main research question of the thesis was: How do people use and perceive digital payments in Nepal?

Overall, internet payments have become a widespread and accepted way of life. People use digital wallets like eSewa, Khalti, and Fonepay as a daily habit, followed by mobile and internet banking. Convenience in using apps and the prevalence of smartphones have encouraged this trend. But there are some issues. Such as low internet penetration in some areas, fraud concerns, and cash requirements, especially in rural areas. Although electronic payment facilities are among the options for acceptance by most merchants, there aren't so many individuals who are aware of where to seek such facilities, and hence, coverage among merchants needs to be widened. To their credit, however, most of them believe in the viability of electronic payments. They all aim to make more use of them in the short term and anticipate these systems finally substituting or even doing away with cash usage. That has enormous growth potential as awareness, confidence, and facilities increase across the country.

4.2 Validity and Reliability

It is crucial to know validity and reliability because they help researchers ensure the findings are accurate, reliable, and concerning the rights of the participants. These are crucial to ensuring the overall quality and integrity of a study. Validity is the research that measures what it is supposed to and that the findings are correct and credible. This study used a structured questionnaire based on the Technology Acceptance Model (TAM), focusing on four main areas: perceived usefulness (PU), perceived ease of use (PEOU), intention to use, and actual use (Davis, 1989). There was a mix of question types in the survey: a five-point Likert scale (e.g., from “Strongly Disagree” to “Strongly Agree” for trust in security, and

“Very Difficult” to “Very Easy” for ease of use), multiple-choice, single-choice, and demographic questions. This was required to capture information about people's behavior and attitudes towards digital payments (Tobi & Kampen, 2018).

To ensure content validity, refine questions to avoid uncertainty, and the scale’s ability to measure intended variables like perceived ease (54.8% said “very easy”) and security trust (55.4% agreed or strongly agreed) was enhanced. Moreover, external validity was assisted by the heterogeneous sample of 151, including urban (91) and rural (60) residents, male (98) and female (53), and mixed age, education, and income levels, though generalizability is limited only in Nepal’s unique context. Reliability was maintained through a systematic data collection process on Microsoft Forms from April 28 to May 1, 2025, with anonymity to minimize response bias. The sample size (139) was over the target of 100, improving statistical reliability (Tobi & Kampen 2018.)

4.3 Suggestion for future research

Future work could use a qualitative or mixed-method approach, with a survey supported by interviews to provide a fuller reason why some are frightened of fraud or still wish to use cash. This would provide more valuable information regarding consumer attitudes to the convenience and safety of digital payments. Larger and more rural representative samples from research could bridge the gap in knowledge between rural and urban users. A comparison of Nepal with other developing countries can perhaps illustrate how cultural and economic variations impact the use of digital payments.

5 Summary

The study examines the impact of digital payment on consumer behavior in Nepal, such as adoption trends, users' perception, and key concerns. Based on the TAM, the study investigates how perceived usefulness, ease of use, intended behavior, and actual use drive digital payment adoption. A survey of 151(139 valid responses) consumers sowed that 92% use online payments, of which mobile wallets (eSews, Khalti, Fonepay) (56.3%), internet/mobile banking (32.6%), and credit/debit cards (11.1%) are the most widely used. The research concludes that young (18-34), urban, and educated individuals are the most frequent consumers, while rural individuals and less technologically oriented people of Nepal are facing challenges such as the absence of proper internet connectivity as well as safety-related issues. Convenience (46%), easy (24.5%), and security (21.6%) were the leading reasons for acceptance, and 92.6% of them support that digital payments are easy to use. Although 55.4% strongly believe that digital payments are secure, 46.8% remain concerned about fraud or hacking, particularly in rural areas. Digital payments will be more widely used in the future, as 71.1% of the participants mentioned, and 50% believe digital payments can replace cash one day, and 44% are not sure.

The study confirms that perceived ease of use and perceived usefulness are the key factors that facilitate adoption, according to TAM principles. However, infrastructural issues and trust gaps must be addressed to enhance digital payment adoption by enhancing digital literacy, cybersecurity, and better connectivity in rural areas. Future research could utilize qualitative information for more deeper understanding or cross-country comparisons to ensure cultural and economic effects. Overall, the digital payment in Nepal has enormous growth potential if accessibility and security concerns are addressed appropriately.

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APPENDIX

LAB University of Applied Sciences

LAB University of Applied Sciences: Thesis Survey

Name: Nirmala Chand
BBA in International Business
(All responses are anonymous and will be used to improve the customer journey with this thesis work. any emails or personal information voluntarily given at the end will not be published and will remain confidential. Honest participation will help understand the usage and adoption of mobile banking and how it impacts the daily life of people in Nepal. Please read carefully before answering.)

1. What is your age? *

- Under 18
- 18-24
- 25-34
- 35-50
- Above 50

2. What is your gender? *

- Woman
- Man
- Prefer not to say

3. What is your education level? *

- School (up to 12th grade)
- Diploma/Graduate
- Postgraduate or higher

4. What is your monthly income range? *

- Below Rs. 20,000
- Rs. 20,001 - Rs. 50,000
- Rs. 50,001 - Rs. 100,000
- Above Rs. 100,000
- Prefer not to say

5. Where do you live in Nepal? *

- City
- Town/Village

6. Do you use digital payments? *

- Yes
- No

7. How often do you use digital payments (e.g., mobile wallets, online banking)? *

- Daily
- Weekly
- Monthly
- Yearly
- Never

8. Which type of digital payment platforms do you use most often? *

- Mobile Wallets (eSewa, Khalti, Fonepay)
- Debit/Credit Cards
- Internet/Mobile Banking
- Other

9. Do you prefer digital payments over cash for everyday purchases? *

- Yes
- No
- Sometimes

10. What is the main reason you use digital payments? *

- Convenience
- Faster transactions
- Cashback/discounts
- Security (less risk than carrying cash)
- Peer influence (others use it)

11. How fast and easy do you find digital payments compared to cash? *

- Very easy
- Easy
- Neutral
- Challenging
- Not so easy

12. Do you trust digital payment systems to complete transactions securely? *

- Strongly agree
- Agree
- Neutral
- Disagree
- Strongly disagree

13. Do you plan to increase your usage of digital payments in the next year? *

- ◯ Yes
- ◯ No
- ◯ Maybe

14. What do you use digital payments for? *

- ☐ Bills (electricity, water, etc.)
- ☐ Online shopping
- ☐ Shops/restaurants
- ☐ Sending money to friends/family
- ☐ Other

15. What stops you from using digital payments more often? *

- ☐ Fear of fraud/hacking
- ☐ Lack of internet access
- ☐ Preference for cash
- ☐ Complicated process
- ☐ No need (I don't shop online)
- ☐ Other

16. Do you think digital payments are widely accepted by retailer in your area? *

- Yes
- No
- Maybe

17. Do you think Nepal's digital payments system will replace cash in future? *

- Yes
- No
- Maybe